

[Figure 3-11](#) illustrates how one period can be vastly different from the next with the end results in each decade still being to your advantage. During 1990–1999, there was positive correlation between intermediate-term Treasury notes and the S&P 500. What resulted was a 50 percent stock and 50 percent bond portfolio that had about the same risk as a 100 percent bond portfolio with about 3 percent higher annual compounded return. There was a distinct negative correlation between the two investments during 2000–2009 that had portfolio risk only slightly higher than a 100 percent bond portfolio. The 50 percent bond and 50 percent stock portfolio had about a 3 percent lower return than 100 percent bonds, although it was still solidly positive during the worst decade for stocks in 60 years.

TABLE 3-4

Benefits of 50% Stock and 50% Bond Diversification over the Decades

Period	Correlation during the Period	Reduction in Portfolio Risk	Increase in Return (MPT)
1950–1959	−0.53	−2.0%	+0.42%
1960–1969	−0.33	−2.1%	+0.26%
1970–1979	+0.28	−1.4%	+0.39%
1980–1989	+0.23	−2.1%	+0.17%
1990–1999	+0.44	−1.4%	+0.16%
2000–2009	−0.85	−5.1%	+0.84%

FIGURE 3-11

Diversification Benefits in Two Contrasting Decades